state sovereignty, IOs can demonstrate responsiveness to the common grievances of populist leaders and their constituents. This kind of retrenchment not only addresses populist demands but also positions IOs as pragmatic and adaptable institutions.

This strategy is already evident in the behavior of various IOs. The WTO, for instance, has practiced judicial economy by exercising discretion in selecting which disputes to adjudicate, particularly those involving politically sensitive issues (Busch and Pelc 2010). Such cautious decision making helps avoid fueling populist ire. Similarly, international and regional courts, which often face populist backlash, can mitigate tensions by refraining from rulings likely to provoke significant discontent (Voeten 2020). Meanwhile, operational IOs like the World Bank and the Asian Development Bank can direct their conditional lending to politically friendly environments or introduce adjustments gradually, working collaboratively with governments in more adversarial contexts.

A particularly effective approach is for global IOs to partner with regional institutions, which are often perceived as more attuned to local needs and less intrusive by populist regimes. These partnerships allow IOs to benefit from such local knowledge, while also deflecting some of the criticisms that populists often levy against larger, more centralized global institutions.

In retrenching their activities, IOs can also grant greater domestic control in areas that are especially contentious for populist governments. This aligns with the concept of “embedded liberalism,” which suggests that multilateralism should support governments in managing their economies and preserving domestic stability (Ruggie 1982). For example, recent scholarship advocates for IOs to accommodate industrial policies that allow states to strategically shape their economies in pursuit of public goals (Juhász, Lane, and Rodrik 2023).

Importantly, retrenchment does not have to be permanent or formalized through structural reforms. Informal, reversible measures enable IOs to ramp up activities once populist pressures subside. Foreign aid is a clear example of this flexibility: Aid flows can be targeted, scaled back, or adjusted to meet evolving political climates without overhauling institutional frameworks. Similarly, IOs might periodically reassess their operations to address issues of mission creep—instances where bureaucratic